

Introduction to Cost Accounting

Chapter 01: Cost Accounting

Cost Accounting Concept Background

- Cost accounting was thought to be a technique used to determine the cost of products or services based on historical data. Due to the highly competitiveness of the market, it was realized over time that cost determination is not as important as cost control. As a result, cost accounting began to be regarded as a technique for cost control rather than cost ascertainment.
- Cost reduction has now entered the scope of cost accounting as a result of technological advancement in all fields.
- Cost accounting is concerned with recording, categorizing, and summarizing costs in order to determine costs of products or services, as well as planning, controlling, and trying to reduce such costs and providing information to managers and decision makers.

Cost Accounting Definition

- Cost accounting is described as “a systematic set of procedures for recording and reporting aggregate and detailed measurements of the cost of manufacturing goods and performing services.
- It includes methods for identifying, categorizing, allocating, aggregating, and reporting such costs, as well as comparing them to standard costs.”
- In the 1950s, the primary focus of cost accounting was on inventory valuation and income determination, with little emphasis on management decision-making.
- During this time period, there was a lack of a market for intermediary products, cost information became important as a tool for measuring the efficiency of various processes.

Cost Accounting Concept Importance

- Management has recognized the importance of cost accounting due to the extreme limitations of financial accounting. Whatever type of business it is, it involves spending money on labor, materials, and other items needed for manufacturing and disposing of the product.
- At each stage, management must avoid the possibility of waste. It must ensure that no machine is idle, that efficient labor is compensated monetarily, that by products are properly utilized, and that costs are properly calculated. This apart from management, the installation of a good costing system benefits creditors and employees in a number of ways.
- Cost accounting improves an organization's productivity and efficiency and serves as an important tool in bringing prosperity to the nation. Management benefits greatly from cost accounting. It gives detailed costing information to management in order for them to maintain effective control over stores and inventory, increase organizational efficiency, and reduce waste and losses. It makes easier to delegate responsibility for important tasks and rate employees.

Cost Accounting Summary

- In Summary, Cost Accounting is a branch of accounting that **collects, classifies, analyzes, and allocates costs** to determine the **true cost of a product or service**. Unlike financial accounting (which reports for external parties like investors), cost accounting is mainly for **internal use** — to help managers control costs and make decisions.
- Example- If you make a leather bag, you need to know *exactly* how much it costs (materials, labor, overhead) before setting the price or deciding whether to produce it.

Scope of Cost Accounting

- **Cost Ascertainment**- This involves collecting and classifying costs as direct or indirect, fixed or variable. It includes determining how much it costs to produce a product or provide a service.
- **Cost Accounting Methods**- Different industries use different costing methods depending on the nature of production. Job costing, batch costing, process costing, etc.
- **Cost Control Techniques**- It means making sure actual costs do not exceed planned costs. It uses **standard costing**, **budgetary control**, and **variance analysis** to monitor performance.

Scope of Cost Accounting (Cont'd)

- **Decision-Making Tools-** Cost accounting provides information for managerial decisions.
 - ✓ **Product Mix Decisions**
 - ✓ **Pricing Decisions**
 - ✓ **Shut Down Decision**
- **Performance Measurement-** It means checking efficiency and profitability of products, departments, or processes. Analyzing departmental efficiency, cost per unit, profitability ratios.

Objectives of Cost Accounting

- **Ascertain Cost of Products/Services**-Determine the cost per unit of output. *Example:* Cost of producing 1 pair of leather shoes.
- **Cost Control**- Identify where costs are rising and take corrective action. *Example:* Reducing excess leather wastage in cutting patterns.
- **Cost Reduction**- Continuous effort to improve efficiency and bring down costs without reducing quality. *Example:* Using technology (like CAD cutting machines) to minimize scrap.
- **Decision Making**-Provide data for managerial decisions such as: Should we make leather wallets in-house or outsource? Should we continue producing a low-profit belt line?
- **Profit Planning**-Help management plan profits through budgeting and forecasting. *Example:* Setting sales targets for jackets to achieve a desired profit.
- **Inventory Valuation**-Calculate cost of raw materials, work-in-progress (WIP), and finished goods. It is important for pricing and financial reporting.

Comparison of Cost accounting with Financial Accounting and Management Accounting

- Financial accounting is concerned with reporting purposes that is guided by authoritative guidelines. These guidelines must be followed by organizations in their financial reports to external parties.
- Cost accounting measures and reports financial and non-financial information related to an organization's resource acquisition or consumption. It contains information for both management and financial accounting.
- Management accounting measures and reports financial information as well as other types of information that are primarily intended to assist managers in achieving the organization's goals.

Comparison of Cost accounting with Financial Accounting & Management Accounting (Cont'd)

Elements	Cost Accounting	Financial Accounting	Management Accounting
Preliminary Users	Used by Internal management at different levels.	External (Investors, government authorities, creditors)	Internal (Managers of business, employees)
Motive	Provides information of ascertainment of costs to control costs and for decision making about the costs. To calculate the cost per unit of a product and control production costs.	Assist investors, creditors, and others make investment, credit, and other decisions through recording and reporting the overall financial performance of a company	Help managers plan and control business operations.
Timeliness	It records and presents estimated, budgeted data. It makes use of both historical costs and predetermined costs.	Delayed or historical	Current and future oriented
Limitations	No need to follow Generally accepted accounting principles (GAAP).	Generally accepted accounting principles (GAAP), Financial accounting standard board (FASB) and Securities exchange commission	GAAP does not apply, but information should be restricted to strategic and operational needs.

Comparison of Cost accounting with Financial Accounting & Management Accounting (Cont'd)

Elements	Cost Accounting	Financial Accounting	Management Accounting
Quality of Information	Use estimated and budgeted information	Objective, auditable, reliable, consistent and precise.	More subjective and judgmental, valid, relevant and accurate.
Scope	Takes various types of costs-potential business ventures, budget preparation, profitability analysis etc.	Highly aggregated information about the overall organization.	Disaggregated information to support local decisions.
Implications	Concern about the internal efficacy	Concern about the adequacy of disclosure.	Concern about how reports will affect employee's behavior.
Features	Not compulsory to produce	Must be accurate and timely. Compulsory under company law is an end in itself.	Usually approximate but relevant and flexible. Except for few companies, it is not mandatory.

The Role of Cost Accounting

Cost accounting provides management with the accounting tools they need to plan and control activities. Specifically, cost data collection, presentation, and analysis should aid management in completing the following tasks:

- 1. Developing and carrying out plans and budgets for operating under anticipated competitive and economic conditions.** Cost accounting helps managers prepare budgets and forecasts, considering market competition and economic changes.
- 2. Developing costing methods and procedures that allow for cost control and, if possible, cost reductions or improvements.** Cost accounting sets up methods to track costs, identify wastage, and suggest improvements.

The Role of Cost Accounting (Cont'd)

- 3. Creating inventory values for costing and pricing purposes, as well as controlling physical quantities on occasion.** Cost accounting helps value stock of raw materials, work-in-progress (WIP), and finished goods for pricing and financial records.
- 4. Calculating a company's costs and profits for an annual accounting period or a shorter period of time.** Managers need to know whether operations were profitable, not just at year-end but sometimes monthly or quarterly.
- 5. Selecting one of two or more alternatives that may increase revenues or decrease costs.** Cost accounting helps in decision-making when alternatives exist.

Characteristics of an Ideal Cost Accounting System

1. A costing system should be tailor-made, practical and should be designed according to the nature, conditions, requirements and size of the business.
2. The costing system should be simple and clear so that it can be easily understood even by a person of average intelligence.
3. The costing system should be flexible so that it can be changed according to changing conditions and circumstances.
4. A costing system should not be expensive and should be adapted according to the financial capacity of the company.
5. The costing system should be such that it can provide the facts and figures necessary for management to compare performance.

Characteristics of an Ideal Cost Accounting System (Cont'd)

7. The system must provide accurate and timely information.
8. The necessary cooperation and participation of managers from the various departments concerned is essential for the development of a good cost accounting system.
9. The costing system should not sacrifice utility by introducing meticulous and unnecessary details.
10. A carefully phased program should be prepared using network analysis for system introduction.
11. The existing system of delegation and division of powers and responsibilities should not be disturbed by the costing system.

Characteristics of an Ideal Cost Accounting System (Cont'd)

12. Filling out forms by foremen and workers should involve as little clerical work as possible because most workers are not well educated.
13. There should be an efficient warehouse and inventory control system as materials generally represent a greater proportion of the total cost.
14. There should be well-defined salary procedure for recording the time spent by workers at different jobs, for preparing pay slips and for paying wages.
15. A solid plan must be devised for the collection, allocation, distribution and absorption of overhead in order to accurately determine the cost.
16. If possible, analytical accounts and financial accounts should be nested in an integral accounting system. If this is not possible, systems should be designed so that the two sets of accounts can be easily reconciled.

Installation of a Cost Accounting Systems

The steps to install a costing system are given below:

1. The costing system will be simple if the objective is only to determine costs, but it will need to be developed if the objective is to have information that will help management to exercise control and make decisions.
2. Study of the existing organization and routine.
3. The appropriate cost accounting system and the extent of detail required can be decided after a careful study of the manufacturing process and their ancillary services.
4. Determination of cost rates which involves a careful study of plant conditions and decisions must be made regarding the classification of costs.

Installation of a Cost Accounting Systems (Cont'd)

5. Before the system is implemented, the implications of the system must be explained to everyone, indicating to them the resulting benefits for each and for the company as a whole.
6. It is always preferable that the cost office is located next to the factory in order to avoid delays in the delivery of documents or in the elimination of discrepancies and doubts. Costing staff must be allowed access to the works if they are to perform their duties properly.

Difficulties in Installing a Costing System

- 1. Lack of Support from Staff and Management-** Resistance due to fear of change or additional workload.
Example: Factory supervisors may feel cost accountants are interfering in their work.
- 2. High Initial Cost of Installation-** Setting up a separate cost department, software, and training is expensive.
- 3. Lack of Skilled Personnel-** Costing requires trained accountants, but many firms lack such expertise.

Difficulties in Installing a Costing System (Cont'd)

- 4. Complexity of Operations-** For companies with multiple products or processes, designing a suitable system is difficult.
- 5. Improper Coordination Between Departments-** If production, accounts, and stores don't cooperate, cost data may be incomplete or inaccurate.
- 6. Suspicion Among Workers-** Workers may think costing is introduced to cut wages or increase workload.

Measures to Overcome the Difficulties

1. **Top Management Support-** Clear communication that the system is for efficiency, not punishment.
2. **Education and Training-** Train staff on the benefits of cost accounting (better planning, budgeting, control).
3. **Phased Implementation-** Start with a simple system (basic costing), later add advanced features (ABC, JIT).
4. **Adaptation to Nature of Business-** Customize the costing system to production processes (batch, job, process).
5. **Close Coordination Between Departments-** Regular meetings between cost accounts, production, purchase, and sales departments.
6. **Cost-Benefit Approach-** Ensure the cost of running the system is justified by the benefits (savings, better pricing, efficiency).

Cost Unit

A **unit of product or service** in relation to which cost is ascertained. Its purpose is to make cost data comparable and standard. ***Examples of Cost Units:***

- Leather industry → one pair of shoes, one leather bag, one leather jacket.
- Transport industry → per passenger-km, per tonne-km.
- Hospital → per patient-day.
- Hotel → per room-night.

Methods of Costing

Different industries require different costing methods, depending on the **nature of production**:

1. Job Costing- Used when products are made to customer specifications. *Example:* A leather workshop making custom handbags for export.

2. Batch Costing- Costing for a batch of identical units. *Example:* A tannery producing a batch of 1,000 leather belts.

3. Contract Costing- Applied to long-term contracts. *Example:* Leather seating contracts for a car manufacturer.

4. Process Costing- Used in industries with continuous, mass production. *Example:* Tanning process where leather goes through stages (soaking → liming → tanning → finishing).

Methods of Costing (Cont'd)

5. Operating Costing (Service Costing)- Applied to services. *Example:* Cost per km of a transport service delivering finished leather products.

6. Unit or Output Costing- Simple method where cost is calculated per unit of output. *Example:* Cost per pair of shoes produced.

7. Multiple/Composite Costing- Used when a product requires several processes/components. *Example:* A leather jacket (cutting, stitching, lining, finishing).

Modern Trends and Development in Cost Accounting

- Just-In-Time (JIT) Method
- Activity Based Costing (ABC)
- Target Method
- Kaizen Costing

Miscellaneous Topics

- Cost is the amount of expenditure (actual or notional) incurred on, or attributable to a specified thing or activity.
- Costing is the techniques and processes of ascertaining costs.
- Cost accounting is the establishment of budgets, standard costs and actual costs of operations, processes, activities or products, and the analysis of variances, profitability or the social use of funds.
- Principles of cost accounting are-cost should be related to its cause; cost should be charged only after it has been incurred; the convention of prudence should be ignored; abnormal costs should be excluded from cost accounts; past costs not to be charged to future period; principles of double entry should be applied wherever necessary.

Miscellaneous Topics

- Costing is an aid to management, creditors, employers and national economy.
- Cost center means, a production or service location, function, activity, or item of equipment whose costs may be attributed to cost units.
- Cost unit is a unit of product or service in relation to which costs are ascertained.
- Financial accounting, cost accounting and management accounting are distinct from each other.